

# KOVA — Use of Funds

[COMPANY LEGAL NAME] · Seed Round · [DATE]  
Confidential — for qualified investors under NDA

## Funding overview

| Item              | Detail                                                                         |
|-------------------|--------------------------------------------------------------------------------|
| Round             | Seed                                                                           |
| Target raise      | USD 150,000 – 300,000                                                          |
| Planning baseline | USD 200,000                                                                    |
| Runway            | 12–18 months                                                                   |
| Primary goal      | 1,000 paying users in Kenya; revenue-generating; regional expansion groundwork |
| Instrument        | [SAFE / Priced equity / Convertible note — TBD]                                |

**Context:** Product is fully built (estimated USD 159K–245K sweat-equity value). Capital deploys to **team, GTM, AI scale, and compliance** — not core product construction.

## Why this amount

| Consideration               | Rationale                                                       |
|-----------------------------|-----------------------------------------------------------------|
| USD 150K minimum            | 12 months: 2 hires + infra + marketing + partner activation     |
| USD 300K ideal              | 18-month runway: 3 hires + aggressive GTM + Nigeria/SA prep     |
| Not >USD 300K at this stage | Product exists; over-raising pre-PMF creates valuation pressure |
| Not <USD 100K               | Cannot hire; marketing too thin; founder-only bottleneck        |

## Allocation — USD 200,000 baseline

| Category | % | USD | KES (approx.) | Purpose |
|----------|---|-----|---------------|---------|
|----------|---|-----|---------------|---------|

|                          |     |        |       |                                                                                           |
|--------------------------|-----|--------|-------|-------------------------------------------------------------------------------------------|
| Team & talent            | 40% | 80,000 | 10.4M | Growth<br>Lead,<br>Custom<br>Success<br>part-ti<br>design<br>payrol<br>taxes              |
| Marketing & GTM          | 25% | 50,000 | 6.5M  | Paid<br>social<br>Whats<br>campa<br>events<br>partne<br>progra<br>incent<br>pilot<br>LOIs |
| LLM & API costs          | 15% | 30,000 | 3.9M  | Open<br>+<br>platfor<br>APIs<br>at<br>~1,00<br>users,<br>Photo<br>studio<br>credits       |
| Infrastructure & tools   | 10% | 20,000 | 2.6M  | Railwa<br>scale-<br>R2,<br>monit<br>securi<br>tooling<br>doma                             |
| Legal, compliance, admin | 10% | 20,000 | 2.6M  | Incorp<br>found<br>docs,<br>ODPC<br>Meta<br>review<br>accou<br>buffer                     |

|       |      |         |      |  |
|-------|------|---------|------|--|
| Total | 100% | 200,000 | ~26M |  |
|-------|------|---------|------|--|

Exchange rate for planning: [USD/KES RATE] — update at close.

Team & talent (40% — USD 80,000)

| Role                    | Timing    | Annual cost (planning) | Notes                                |
|-------------------------|-----------|------------------------|--------------------------------------|
| Growth Lead             | Month 1–2 | ~USD 24–30K            | GTM, partnerships, partner program   |
| Customer Success        | Month 3–4 | ~USD 18–24K            | Onboarding, pilot support, retention |
| Contract design/content | As needed | ~USD 8–12K             | Case studies, deck, ads              |
| Founder salary          | Minimal   | ~USD 12–18K            | Stipend only — majority to hires     |

Outcome: Founder shifts from solo build to growth + customer success leadership.

Marketing & GTM (25% — USD 50,000)

| Line item                      | Budget (USD) | Purpose                                        |
|--------------------------------|--------------|------------------------------------------------|
| Performance ads (Meta, TikTok) | 18,000       | SME targeting — Nairobi + secondary cities     |
| WhatsApp / SMS campaigns       | 8,000        | Pro-tier funnel; salon, food, retail verticals |
| Partner program activation     | 10,000       | Commissions, onboarding kits, partner events   |
| Events & incubators            | 6,000        | Demo days, university partnerships             |
| Pilot incentives & LOIs        | 8,000        | 14 TEST_BUSINESSES → 3–5 public case studies   |

KPI: CAC payback <6 months on Growth tier (KES 1,499/mo).

LLM & API costs (15% — USD 30,000)

Scaled for ~1,000 users with Plan v2 token caps:

| Tier    | Monthly LLM cap (planning) |
|---------|----------------------------|
| Starter | 1M tokens                  |
| Growth  | 4M tokens                  |
| Pro     | 10M tokens                 |
| Agency  | 40M tokens                 |

Includes OpenRouter inference, vision analysis, WhatsApp template costs, and Photoroom studio polish pool.  
**Metering enforced** in apps/agents/budget.py.

Infrastructure & tools (10% — USD 20,000)

| Service                                      | Notes                                                  |
|----------------------------------------------|--------------------------------------------------------|
| Railway (Web, Worker, Beat, Redis, Postgres) | Scale from ~USD 30/mo to ~USD 500–1,500/mo at 1K users |
| Cloudflare R2                                | Media storage growth                                   |
| Resend                                       | Email volume past free tier                            |
| Monitoring & backups                         | Uptime, error tracking                                 |
| Domains & SSL                                | Primary + marketing domains                            |

Current pre-scale burn: ~USD 28–36/month (~KES 3,500–4,500).

Legal, compliance & admin (10% — USD 20,000)

| Item                                        | Est. (USD) |
|---------------------------------------------|------------|
| Kenya incorporation + BRS fees              | 2,000      |
| Advocate — founders agreement, IP, SHA prep | 8,000      |
| ODPC registration + DPIA support            | 2,000      |
| Meta app review / business verification     | 1,500      |
| M-Pesa production go-live                   | 1,000      |
| Accounting & tax (KRA)                      | 3,000      |
| Contingency                                 | 2,500      |

Milestone-linked view (optional tranches)

| Milestone                             | % release | Evidence                            |
|---------------------------------------|-----------|-------------------------------------|
| Close + incorporation complete        | 30%       | Cert of incorporation, bank account |
| 100 paying users                      | 30%       | Billing export, churn report        |
| 500 paying users + 25 active partners | 25%       | Partner dashboard, case studies     |
| 1,000 paying users                    | 15%       | Management accounts, board report   |

Tranche structure subject to investor negotiation.

Revenue vs burn (summary)

| Period   | Paying users (target) | MRR (planning, blended KES 1,400) | Monthly burn (est.) |
|----------|-----------------------|-----------------------------------|---------------------|
| Month 6  | 150                   | ~KES 210K                         | ~KES 1.5M           |
| Month 12 | 500                   | ~KES 700K                         | ~KES 2.0M           |
| Month 18 | 1,000                 | ~KES 1.4M                         | ~KES 2.2M           |

Detailed model: 03-financial/KOVA\_Financial\_Projections\_TEMPLATE.md.

What we will not fund with seed capital

- Greenfield product rebuild (already complete)
- Large office lease or hardware capex
- Unrelated ventures or founder personal expenses (beyond modest stipend)
- Unapproved related-party transactions

Reporting to investors

- **Monthly:** KPI email (users, MRR, churn, burn, cash)
- **Quarterly:** Board-style update + cap table confirmation
- **Annual:** Management accounts; path to audited statements when material

*Source: adapted from docs/KOVA\_FUNDING\_PLAN.md · Plan v2 pricing · DRAFT — verify with finance before investor distribution*